the liquidation of receivables and inventories, the proceeds of which paid off the 1929 bank loans and largely increased the cash resources.

From the viewpoint of past indications, therefore, the two companies must be placed in different categories. In the Hupp Motors case, we should have to take into account the possibility that the remaining excess of current assets over market price might soon be dissipated. This is not true so far as Manhattan Shirt is concerned, and in fact the achievement of the company in strengthening its cash position during the depression must be given favorable consideration. We shall recur later to this phase of security analysis, *viz.*, the comparison of balance sheets over a period in order to determine the true progress of an enterprise. The former point—that attention should be paid also to the past earnings record—may be brought home by a brief comparison of two companies in early 1939.

Item	**Ely & Walker Dry Goods Co.**		**Pacific Mills**	
Price, January, 1939	17		14	
Per share:	Dec. 31, 1932	Dec. 31, 1938	Dec. 31, 1932	Dec. 31, 1938
Net current assets	$30.00	$39.50	$26.95	$24.50
Net tangible assets	37.73	46.42	90.85	79.50
Average earnings, 1933–1938		1.82		*2.41(d)*
Average dividend, 1933–1938		1.25		0.50

The losses of Pacific Mills did not have a serious effect upon the balance-sheet position because they have come mainly out of the balance sheet via the depreciation allowance. But unless there were special reasons to expect a reversal of the operating results, the analyst would obviously prefer Ely & Walker as an investment purchase.

Bargains of This Type. Common stocks that (1) are selling below their liquid-asset value, (2) are apparently in no danger of dissipating these assets, and (3) have formerly shown a large earning power on the market price, may be said truthfully to constitute a class of *investment bargains*. They are indubitably *worth* considerably more than they are selling for, and there is a reasonably good chance that this greater worth will sooner or later reflect itself in the market price. At their low price these bargain stocks actually enjoy a high degree of safety, meaning by safety a relatively small risk of loss of principal.